

To: Prof. Chris de Mestre
 From: Yi-Wei “Tim” Chen, Rozal Mehta, Michael Chang
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 Subject: HADM 6200 Project 2 - Angus Cartwright

Investor Profile

Life Stage

- **John DeRight's Retirement Wealth Strategy:** John is in the retirement phase of life. He recently sold his business and has retired with \$18M in stock and \$1 M in annual income from dividends and other sources. He focuses on preserving and diversifying his wealth to secure a stable financial future without the need to work. He is considering selling up to half of his stock (\$9 M) to invest in real estate, motivated by the potential for diversification, inflation protection, and tax advantages.
- **Judy DeRight's Diversification Goals:** Judy, president and sole owner of a profitable chemical company generating \$1.1 M in annual after-tax earnings, values her independence and prefers internal expansion over selling. Seeking diversification, she plans to invest her \$16 M wealth, currently in short-term securities, into real estate.

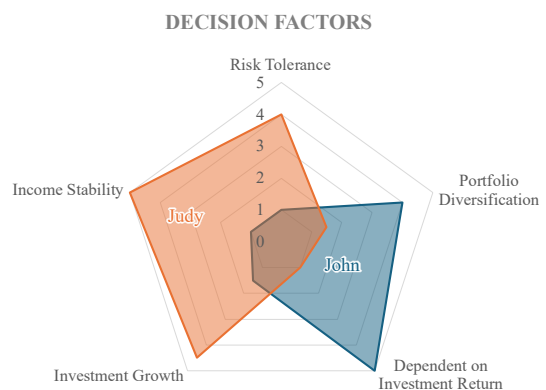
Portfolio Distribution

- **John's Focus on Sustainable Retirement Income:** John values capital gains for providing sustainable income during retirement, with the added benefit of inflation protection, making it a key part of his long-term financial strategy.
- **Judy's Diversification Beyond Her Business:** Judy prefers capital gains as they allow her to diversify her investments beyond her business, focusing on long-term growth and wealth appreciation, particularly through real estate.

Risk Tolerance

- **John's Shift to Wealth Preservation:** As John approaches retirement, his risk tolerance decreases, focusing more on wealth preservation and stable income. With a substantial portion of his wealth secured, he's less inclined toward high-risk investments, aiming to protect his assets from market volatility and maintain a comfortable lifestyle.
- **Judy's Move Toward Real Estate:** While still an active business owner, Judy has accumulated significant liquid assets and now prioritizes safeguarding her wealth. Her shift toward moderate-to-high-risk investments, like real estate, reflects her desire for long-term security over short-term gains, driving her more conservative risk profile.

	John DeRight	Judy DeRight
Life Stage	Retired	Working
Risk Tolerance	Low	Moderate - High
Allocatable	\$9M	\$16M
Portfolio	Stock: \$9M , Real Estate: \$9M	Real Estate: \$16M
Income stream	Annual Stock Dividends: \$1 M	Active Income: \$1.6 M



(Figure 1&2: Investor Profile)

Recommendation

Investment Goal:

To fully assess an investor's risk tolerance, we must consider their investment goals, as these directly influence the metrics used in recommendations. Based on Mr. Cartwright's documentation, the following investor profiles emerge:

- **John:** As a retiree, John plans to hold his real estate investment long-term for rental income, relying on it to support his retirement. His focus will be on stable cash flows, making cash-on-cash returns, and NPV key metrics for evaluating investments.
- **Judy:** Judy may view this as a short-term investment, seeking to capitalize on better market opportunities in the future. While rental income is still important, her primary focus will be on metrics like IRR, which can highlight higher returns over shorter timeframes, facilitating reinvestment.

Financial Metrics

- **Risk Assessment Using Loan-to-Value (LTV) and Debt Coverage Ratio (DCR):** To evaluate investment risk, metrics like LTV and DCR were used to assess financial leverage and income generation for covering debt obligations. This analysis provides insights into the risk levels of properties such as Alison Green and Stony Walk.
- **Return Analysis with Internal Rate of Return (IRR) and Cash-on-Cash (CoC) Return:** Four key return metrics are commonly used to assess the financial performance and potential of a property: IRR, CoC, NPV, and Cap Rate Compression. Particularly, two of these metrics serve a distinct purpose in evaluating various investments, helping investors make informed decisions about both short-term opportunities and long-term strategies.
 - o **IRR:** It is used to evaluate the overall profitability of an investment, especially for **short-term arbitrage opportunities**. It measures the annualized rate of return that can be expected over the investment's duration, allowing investors to compare different projects and time frames. In short-term scenarios, IRR helps identify opportunities for quick profits by highlighting high-yielding investments with shorter holding periods.
 - o **CoC & NPV:** These metrics are critical for **long-term leasing investments**, as they focus on the actual cash income generated relative to the cash initially invested. CoC return is particularly useful for investors looking for consistent, stable cash flows over the long term. It gives a clear view of how well an investment is performing in terms of generating rental income that can cover expenses and provide steady returns over time.

Properties

- **Alison Green:** Alison Green is a low-risk, high-return leasing investment with a conservative LTV ratio and stable finances. High CoC returns provide consistent income, and high NPV ensures its long-term value.
- **Stony Walk:** Stony Walk is a high-risk, low-return investment. While it has a higher DCR and lower IRR and CoC returns, combined with a higher LTV, suggests limited profitability and increased financial risk, making it less appealing.
- **Ivy Terrace:** Ivy Terrace presents a moderate-risk, high-return arbitrage investment, ideal for investors seeking strong growth potential in the short term. Its relatively low LTV ratio provides a solid financial foundation, while the higher IRR signals significant short-term capital appreciation. Ivy Terrace stands out as an excellent option for those looking to balance risk with good short-term returns.
- **Fowler Building:** Fowler Building is a high-risk, high-return investment with a higher Loan-to-Value ratio, reflecting a greater reliance on debt financing. It also offers the highest Internal Rate of Return, indicating strong growth potential making it a compelling choice for investors seeking substantial short-term rewards.

Risk & Return

When evaluating real estate investments, it's essential to balance both return and risk based on an investor's financial goals. Metrics like CoC return and NPV are critical for those seeking steady income, while IRR is key for investors focused on maximizing growth and reinvestment opportunities.

For John, a steady income stream is essential, making **CoC return** particularly relevant. Although IRR is not a primary concern for him as long as the property meets a minimum threshold of 12%, **NPV** is critical as it reflects the net value added to his portfolio. With the highest CoC return (12.06%) and NPV (\$734.29), **Alison Green** is the most suitable property. Additionally, due to John's reliance on this income, properties with a low LTV ratio and a high DCR are crucial for managing risk. Alison Green, with an LTV of 62.5% and a DCR of 2.0, offers an attractive, low-risk investment option.

In contrast, Judy, who is still earning active income and is in the wealth accumulation stage, doesn't need to rely on rental income. Since her strategy may involve holding the property for a shorter period and reinvesting in better opportunities, **IRR** becomes her priority because it measures the efficiency of the investment in generating returns over time. IRR is particularly important for Judy as it helps assess how quickly and effectively, she can recover her investment and reinvest elsewhere, maximizing her overall returns. The properties with the highest IRRs are Ivy Terrace (15.13%) and the Fowler Building (15.32%). However, when factoring in risk, Fowler Building's higher LTV (74.47%) and lower DCR (1.26) indicate a greater risk compared to Ivy Terrace (LTV: 65.48%, DCR: 1.92). Therefore, **Ivy Terrace** would be the better investment for Judy due to its lower risk.

	Alison Green	Stony Walk	Ivy Terrace	Fowler Building
Cash-on-Cash	12.06%	9.46%	11.59%	3.76%
Rank (1:high return)	1	3	2	4
IRR	14.93%	14.54%	15.13%	15.32%
Rank (1:high return)	3	4	2	1
NPV	\$734.29	\$699.92	\$619.68	\$678.62
Rank (1:high return)	1	2	4	3
Cap Rate Compression	0.02%	0.32%	0.40%	0.05%
Rank (1:high return)	4	2	1	3
Overall Return Rank (long-term hold + leasing)	1	3	2	4
Overall Return Rank (short-term hold + flipping)	3	4	2	1
LTV	62.50%	69.57%	65.48%	74.47%
Rank (1: low risk)	1	3	2	4
DCR	2.00	1.46	1.92	1.26
Rank (1: low risk)	1	3	2	4
Overall Risk Rank	1	3	2	4
Conclusion (long-term hold + leasing)	Highest Return, Lowest Risk	Low Return, High Risk	High Return, Low Risk	Lowest Return , Highest Risk
Conclusion (short-term hold + flipping)	Low Return, Lowest Risk	Low Return, High Risk	High Return, Low Risk	Highest Return , Highest Risk

(Figure 3. Risk-Return Table)